

July 13, 2026 04:56 AM GMT

Semiconductors | North America

Weekly: NVDA road show feedback

We address feedback from last week's NDR; NVDA remains our Top Pick in semis, and we think some of the themes from this NDR could be key in unlocking the value that we see.

Feedback post the NVIDIA road show.

Last week, we hosted several meetings with NVDA CEO Jensen Huang, CFO Collette Kress, and head of IR Toshiya Hari. We wrote a note about it on Friday ([link](#)), and have had dozens of investor interactions with significant feedback.

We note that specialists continue to be fundamentally mostly optimistic about NVIDIA's near term earnings prospects, and the overall most asked question is "what does it take for the stock to outperform" given recent relative underperformance for no fundamental reason. Our answer is that we aren't frankly sure on the catalyst but the valuation disconnect is too wide to persist.

We have several points of feedback:

- 1) There is significant interest in the notion that NVIDIA is working closely with more value and income based accounts. This makes sense to us, as the biggest single challenge for the stock is the outsized market cap and index exposures; there simply have been a lack of incremental buyers, at a time when every mid/large cap peer has had a significant bid. NVIDIA working with value and income based fund groups & family offices - while continuing to focus on its core growth investor base - can be an answer to this issue. Value interest in the name should be clear, given current quarter growth of 95% in the quarter before a major product cycle, management's contention that this growth is accelerating, and a greater than 5% free cash flow yield for next year with over half of that cash likely to be returned.
- 2) Strong near term business is the expectation everywhere. While there is a vigorous debate about longer term growth, market share, and profitability, there was very little pushback on the notion of accelerating revenue from the current strong growth rates.
- 3) There continues to be mixed feedback on the re-segmentation, and the growth rate of the AI cloud/Sovereign/Enterprise portion of the business. We find, in particular, the geographic reshoring of AI data centers as a compelling theme, as global shortages of space and power are leading countries to carve out those resources for domestic companies rather than for US hyperscalers. This of course is not a new topic, but those pressures are intensifying and in some cases we are seeing new deployments as regulatory approvals happen.

In particular, the notion of a new neo-cloud business model proposed by NVIDIA in a blog post a week or so ago could frame the next big debate for the stock. NVIDIA will provide credit support for a broader range of neo-clouds in exchange for

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SEMICONDUCTORS		
North America		
Industry View		Attractive

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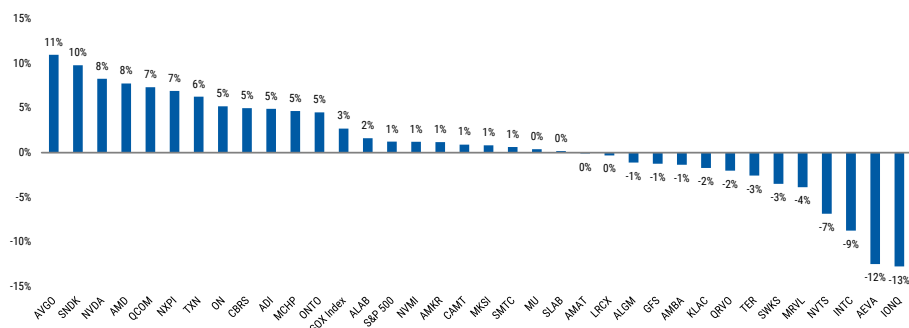
revenue sharing on cloud services, in addition to the hardware sales. It's a debate because credit support has some cost that isn't evident from the P&L, as well as some risk. But as the focus shifts from what could go wrong to what could go right, given the substantial compute shortage, the company could end up with a substantial recurring revenue stream at 100% gross margins. We plan to dig into this further.

4) NVIDIA commentary contributes to the memory debate. In particular, NVIDIA's comments that the memory shortage - which they expect to last for several years - will lead them to try to adapt and make do with less - have created some debates for the memory names.

We remain optimistic about the memory cycle. But that enthusiasm is less about peak earnings power, and more about the duration of the current high earnings environment, and we are seeing several factors that to some degree trade cycle amplitude for cycle duration. That's true of long term agreements - which could dampen near term price upside, but which add to longer term visibility - and is true of data center users getting by with less memory, as a matter of need, which should result in higher demand when there is higher supply. Of course, both amplitude and duration matter, but our focus is the total area under the curve of the upturn, which seems quite significant.

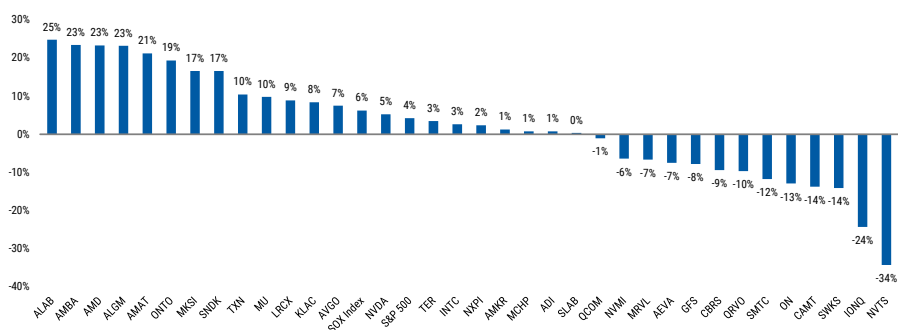
Semiconductor Coverage – Valuation / Stock Performance

Exhibit 1: Weekly stock performance



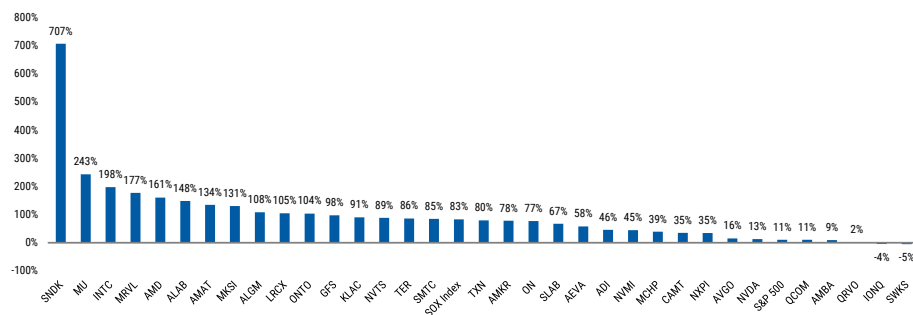
Source: FactSet, Morgan Stanley Research

Exhibit 2: Monthly stock performance



Source: FactSet, Morgan Stanley Research

Exhibit 3: YTD stock performance



Source: FactSet, Morgan Stanley Research

Semis Week Ahead

Exhibit 4: July 13th - July 17th, 2026

Monday, July 13th	
Tuesday, July 14th	
AEHR Earnings	
5:00pm ET	
Wednesday, July 15th	
ASML Earnings	
9:00am ET	
SEMI Advanced Packaging Summit 2026	
https://www.semi.org/en/connect/events/advanced-packaging-summit-2026	
Thursday, July 16th	
TSMC Earnings	
2:00am ET	
Friday, July 17th	
LOOKING AHEAD	
Wednesday, July 22nd	
TXN Earnings	
4:30pm ET	
AMD Advancing AI - Day 1	
Thursday, July 23rd	
BESI Earnings	
10:00am ET	
STMicro Earnings	
3:30am ET	
AMD Advancing AI - Day 2	
Livestream - https://www.youtube.com/@AMD/streams	
INTC Earnings	
5:00pm ET	
July 26th-29th	
DAC 2026: The Chips To Systems Conference	
https://dac.com/2026	
Monday, July 27th	
NVTS Earnings	
5:00pm ET	
ARMH Earnings	
5:00pm ET	
Tuesday, July 28th	
NMPI Earnings	
4:30pm ET	
KLAC Earnings	
5:00pm ET	
Wednesday, July 29th	
Metrek Earnings	
4:30am ET	
ASMI Earnings	
9:00am ET	
QCOM Earnings	
4:45pm ET	
ARM Earnings	
5:00pm ET	
URCL Earnings	
5:00pm ET	
Thursday, July 30th	
ALGM Earnings	
8:30am ET	
Monday, August 3rd	
UCTT Earnings	
4:45pm ET	
August 4th-6th	
Flash Memory Summit (FMS): Future of Memory & Storage	
https://flashmemorysummit.com/	
Tuesday, August 4th	
ALAB Earnings	
4:30pm ET	
AMD Earnings	
5:00pm ET	
Wednesday, August 5th	
IFX Earnings	
3:30am ET	
GPI Earnings	
8:30am ET	
SDGX Earnings	
4:30pm ET	
August 23rd-25th	
Hot Chips	
https://hotchips.org/	
Wednesday, August 26th	
NVDA Earnings	
5:00pm ET	
September 2nd-4th	
SEMICON Taiwan	
https://www.semicontaiwan.org/en	
Tuesday, September 8th	
KONG Investor Day	
2:00pm ET	
September 8th-11th	
SPIE Photomask Technology + EUV Lithography	
https://spie.org/conferences-and-exhibitions/photomask-technology-and-extreme-ultraviolet-lithography	
September 15th-17th	
AI Infra Summit	
https://www.ai-infra-summit.com/	
Wednesday, September 16th	
OH Financial Analyst Day	
2:00pm ET	
September 22nd-24th	
QCOM Snapdragon Summit	
https://www.qualcomm.com/company/events/snapdragon-summit	
Wednesday, September 23rd	
TSMC North America OIP Ecosystem Forum	
https://tjw.tsmc.com/english/events	
October 12th-15th	
OCF Global Summit	
https://www.ocfcompute.org/summit/global-summit	
October 13th-15th	
SEMICON West	
https://www.semiconwest.org/	
October 20th-22nd	
GTC Berlin	
https://www.nvidia.com/en-eu/gtc/	
Wednesday, October 21st	
NVDA CEO Jensen Huang Keynote	
Livestream link TBD - 5:00am ET	
November 10th-13th	
SEMICON Europe	
https://www.semiconeurope.org/	
November 15th-20th	
SC26 (Supercomputing Conference)	
https://sc26.supercomputing.org/	
December 9th-11th	
SEMICON Japan	
https://www.semiconjapan.org/en	

Source: Bloomberg, Refinitiv, Morgan Stanley Research

Semiconductor Coverage

Exhibit 5: Semiconductors - Risk Reward

Ticker	Rating	Price	Risk-Reward			% Upside / Downside
			Bear	Base	Bull	Base
<u>Computing</u>						
AMD	EW	\$557.9	\$210	\$410	\$570	-27%
CBRS	OW	\$215.1	\$90	\$273	\$400	27%
INTC	EW	\$109.8	\$43	\$73	\$110	-34%
NVDA	OW	\$211.0	\$160	\$288	\$330	37%
<u>Memory</u>						
MU	OW	\$979.3	\$675	\$1,200	\$1,650	23%
SNDK	OW	\$1,915.9	\$1,100	\$1,750	\$2,635	-9%
<u>Capital Equipment</u>						
AMAT	EW	\$602.5	\$455	\$647	\$854	7%
CAMT	EW	\$143.8	\$119	\$167	\$222	16%
KLAC	OW	\$231.5	\$171	\$274	\$333	18%
LRCX	OW	\$350.3	\$289	\$404	\$519	15%
MKSI	OW	\$368.6	\$278	\$442	\$595	20%
NVMI	EW	\$475.9	\$384	\$540	\$723	13%
ONTO	OW	\$321.4	\$257	\$371	\$475	15%
TER	EW	\$359.6	\$267	\$387	\$512	8%
<u>Comm-IC / Multi-Market</u>						
ALAB	OW	\$413.0	\$121	\$240	\$332	-42%
AMBA	OW	\$77.3	\$34	\$96	\$136	24%
AVGO	OW	\$400.0	\$308	\$502	\$637	26%
MRVL	EW	\$235.8	\$130	\$195	\$286	-17%
QCOM	EW	\$189.2	\$108	\$231	\$305	22%
QRVO	EW	\$85.8	\$40	\$84	\$110	-2%
SMTC	EW	\$136.1	\$95	\$175	\$230	29%
SWKS	EW	\$60.4	\$43	\$76	\$105	26%
<u>Analog / MCUs</u>						
ADI	OW	\$395.7	\$342	\$428	\$517	8%
ALGM	OW	\$54.9	\$43	\$51	\$70	-7%
MCHP	EW	\$88.6	\$69	\$94	\$118	6%
NVTS	UW	\$13.5	\$4.9	\$13.7	\$22.7	2%
NXPI	OW	\$292.3	\$268	\$335	\$400	15%
ON	NC	\$96.0	++	++	++	-
SLAB	EW	\$218.6	\$83	\$231	\$265	6%
TXN	UW	\$311.5	\$184	\$221	\$263	-29%
<u>Components</u>						
AEVA	EW	\$21.0	\$4.5	\$18.5	\$52.0	-12%
<u>Foundry</u>						
AMKR	EW	\$70.5	\$49	\$69	\$88	-2%
GFS	EW	\$69.0	\$34	\$58	\$96	-16%
<u>Quantum Computing</u>						
IONQ	EW	\$42.9	\$6	\$48.5	\$110	13%

Source: FactSet, Morgan Stanley Research estimates

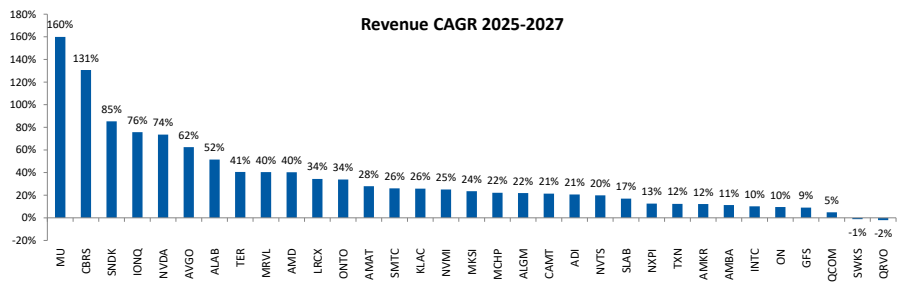
Exhibit 6: MS vs. Street

		CY2026e EPS				CY2026e Revenue		
		MS	Consensus	% Diff		MS	Consensus	% Diff
OW	ADI	\$13.21	\$12.74	(4%)	ADI	\$15,499	\$15,067	(3%)
	ALAB	\$2.88	\$3.02	(8%)	ALAB	\$1,532	\$1,550	(1%)
	ALGM	\$0.93	\$0.88	10%	ALGM	\$1,048	\$1,022	2%
	AMBA	\$0.74	\$0.78	3%	AMBA	\$443	\$437	0%
	AVGO	\$13.68	\$12.89	(3%)	AVGO	\$123,943	\$116,826	0%
	CBRS	-\$0.78	-\$0.94	(3%)	CBRS	\$863	\$866	0%
	KLAC	\$4.42	\$4.45	(1%)	KLAC	\$15,453	\$15,451	(0%)
	LRCX	\$7.21	\$6.91	(0%)	LRCX	\$27,917	\$27,110	(0%)
	MKSI	\$11.95	\$11.74	4%	MKSI	\$4,870	\$4,808	1%
	MU	\$104.09	\$99.70	45%	MU	\$172,900	\$168,899	18%
	NVDA	\$4.77	\$8.62	6%	NVDA	\$215,938	\$377,965	5%
	NXPI	\$14.96	\$14.73	4%	NXPI	\$14,138	\$14,067	1%
	ONTO	\$7.31	\$7.20	4%	ONTO	\$1,347	\$1,342	1%
	SNDK	\$161.07	\$135.50	43%	SNDK	\$38,078	\$34,035	7%
EW	AEVA	-\$1.80	-\$1.69	2%	AEVA	\$33	\$32	(19%)
	AMAT	\$13.96	\$13.03	2%	AMAT	\$36,976	\$35,004	3%
	AMD	\$7.22	\$7.47	1%	AMD	\$48,807	\$49,970	(5%)
	AMKR	\$2.07	\$2.08	(8%)	AMKR	\$7,570	\$7,610	(4%)
	CAMT	\$3.56	\$3.50	10%	CAMT	\$577	\$571	5%
	GFS	\$1.94	\$1.89	(4%)	GFS	\$7,250	\$7,240	(1%)
	INTC	\$1.12	\$1.08	21%	INTC	\$58,131	\$58,545	0%
	IONQ	-\$0.54	-\$0.37	(109%)	IONQ	\$266	\$266	3%
	MCHP	\$2.71	\$2.78	(1%)	MCHP	\$5,769	\$5,818	2%
	MRVL	\$3.98	\$3.95	3%	MRVL	\$11,498	\$11,223	2%
	NVMI	\$10.18	\$10.48	1%	NVMI	\$1,064	\$1,065	4%
	QCOM	\$9.23	\$10.81	(100%)	QCOM	\$39,926	\$42,952	(100%)
	QRVO	\$6.31	\$6.89	(3%)	QRVO	\$3,346	\$3,507	(7%)
	SLAB	\$3.00	\$2.77	9%	SLAB	\$934	\$922	1%
	SMTC	\$2.72	\$2.58	(2%)	SMTC	\$1,375	\$1,331	0%
	SWKS	\$4.68	\$5.04	(4%)	SWKS	\$3,750	\$3,948	(3%)
	TER	\$8.03	\$7.46	0%	TER	\$4,748	\$4,538	2%
UW	NVTS	-\$0.17	-\$0.17	13%	NVTS	\$43	\$42	15%
	TXN	\$7.82	\$7.70	(1%)	TXN	\$21,035	\$21,020	(1%)
+	ON	\$3.12	\$3.08	8%	ON	\$6,472	\$6,472	(0%)

Source: FactSet, Morgan Stanley Research estimates

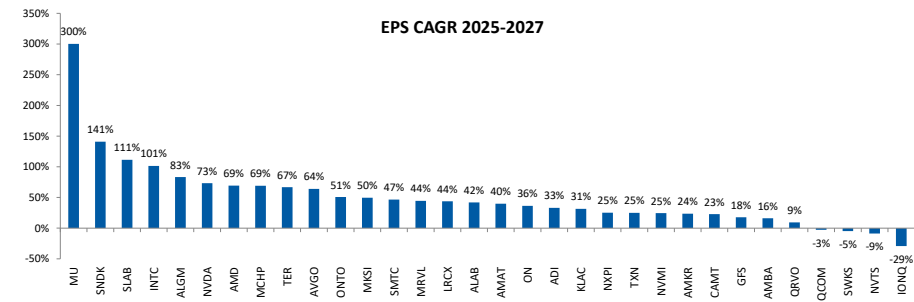
Revenue and EPS Growth

Exhibit 7: 2025-27e Revenue CAGR



Source: FactSet, Morgan Stanley estimates

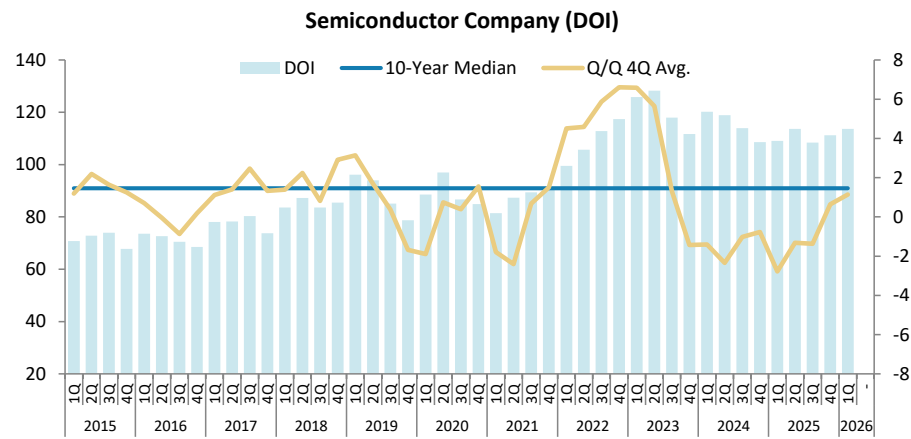
Exhibit 8: 2025-27e EPS CAGR



Source: FactSet, Morgan Stanley estimates

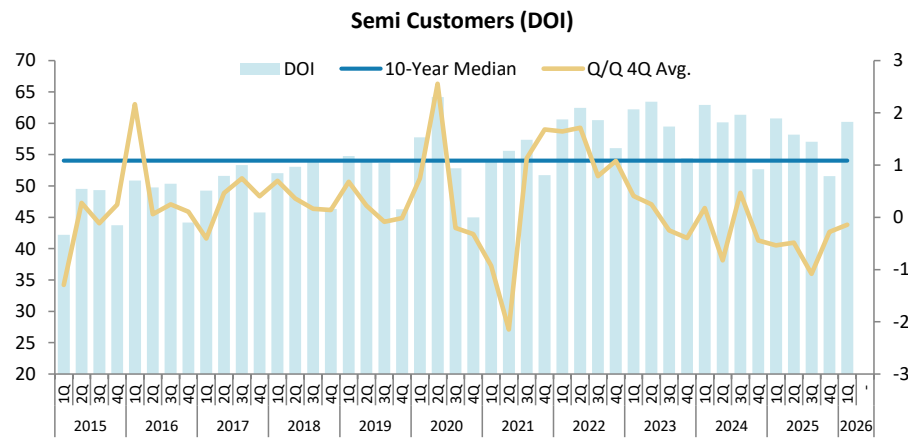
Inventory

Exhibit 9: Semiconductor Company inventory is at 114 days, up 2 days q/q which is 2 days ahead of the seasonal increase of 5 days. DOI is 23 days above the historical median and trailing 4-quarters slightly increased..



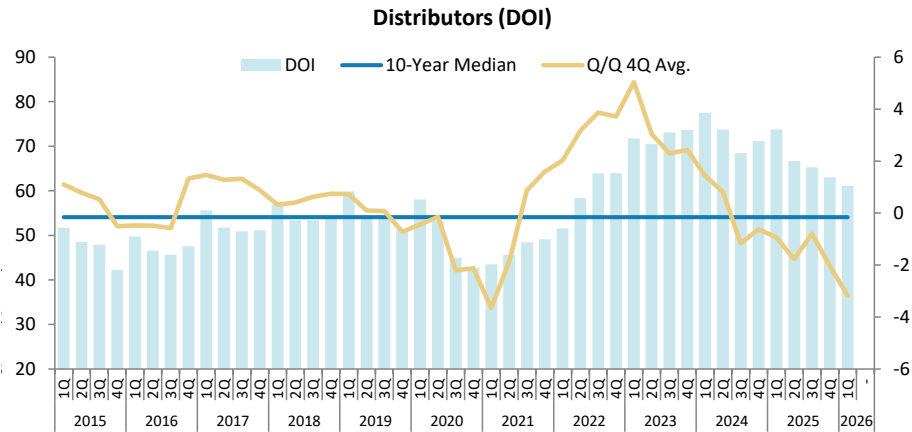
Source: FactSet, Morgan Stanley Research

Exhibit 10: Semi Customer DOI increased 9 days sequentially to 60 days vs a seasonal increase of 8 days. DOI is above the historical median and trailing 4 quarters increased from last quarter.



Source: FactSet, Morgan Stanley Research

Exhibit 11: Distributor inventory is at 61 days, down 2 days q/q, below seasonal increase of 4 days. DOI is 7 days above the historical median while trailing 4-quarters decreased sequentially.



Source: FactSet, Morgan Stanley Research

Short Interest

Exhibit 12: Short Interest as % of Float

	10/Jul/25	10/Apr/26	10/May/26	10/Jun/26	10/Jul/26
ADI	1.7%	2.0%	2.2%	1.9%	2.5%
AEVA	8.2%	12.4%	11.9%	10.7%	6.9%
ALAB	6.4%	9.0%	7.7%	6.9%	7.4%
ALGM	7.0%	6.4%	5.9%	6.4%	8.3%
AMAT	1.9%	1.6%	2.0%	2.5%	2.5%
AMBA	4.9%	4.8%	6.0%	5.1%	7.5%
AMD	3.0%	2.2%	2.2%	2.7%	2.6%
AMKR	2.6%	3.5%	3.0%	3.4%	3.6%
AVGO	1.2%	1.1%	1.1%	1.2%	1.5%
CAMT	7.8%	7.4%	6.5%	6.5%	5.8%
CBRS				2.1%	4.8%
GFS	1.8%	3.1%	1.8%	1.4%	1.3%
INTC	2.6%	2.4%	2.8%	2.7%	2.5%
IONQ	9.8%	21.7%	22.4%	15.5%	11.8%
KLAC	2.8%	2.4%	2.4%	26.9%	2.6%
LRCX	2.5%	2.2%	2.3%	2.6%	2.3%
MCHP	6.5%	5.1%	5.5%	6.0%	7.2%
MKSI	6.1%	5.5%	5.3%	6.6%	7.3%
MRVL	2.9%	3.2%	3.2%	4.0%	3.9%
MU	2.5%	2.8%	3.3%	3.3%	2.8%
NVDA	1.0%	1.2%	1.2%	1.2%	1.3%
NVMI	5.2%	5.2%	4.8%	5.6%	4.6%
NVTS	19.7%	18.3%	17.7%	15.2%	14.6%
NXPI	2.4%	3.2%	2.6%	3.3%	3.5%
ON	9.0%	7.9%	7.5%	8.0%	7.7%
ONTO	4.3%	2.7%	2.0%	3.9%	5.3%
QCOM	2.0%	4.1%	4.7%	4.3%	3.8%
QRVO	7.0%	7.1%	6.7%	7.9%	7.7%
SLAB	5.0%	4.6%	5.7%	7.2%	7.0%
SMTC	10.0%	5.8%	6.7%	6.8%	6.0%
SNDK	5.0%	5.4%	7.3%	6.2%	4.9%
SWKS	9.0%	13.3%	15.1%	18.7%	19.2%
TER	4.4%	3.1%	3.5%	4.4%	5.8%
TXN	2.0%	2.0%	1.7%	2.1%	1.9%
AVERAGE	5.2%	5.7%	5.7%	6.4%	5.6%
MEDIAN	4.9%	4.6%	4.8%	5.3%	4.8%

Source: FactSet, Morgan Stanley Research

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$557.89
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$20.99
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$54.87
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$77.30
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$70.47
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$395.65
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$412.97
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$399.97
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$215.08
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$68.97
Intel Corporation (INTC.O)	E (02/22/2023)	\$109.84
IonQ Inc (IONQ.N)	E (04/25/2023)	\$42.86
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$235.81
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$88.59
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$979.30
Navitas Semiconductor Corp (NVTS.O)	U (04/06/2025)	\$13.47
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$210.96

NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$292.26
ON Semiconductor Corp. (ON.O)	++	\$95.96
Qorvo Inc (QRV0.O)	E (10/28/2025)	\$85.81
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$189.16
Quantinuum (QNT.O)	E (06/29/2026)	\$70.45
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,915.92
Semtech Corp. (SMT.C.O)	E (04/06/2025)	\$136.13
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$218.63
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$60.38
Texas Instruments (TXN.O)	U (04/13/2020)	\$311.46
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$35.29
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$323.39
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$384.17
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$445.50

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